



M3 Country Version for Canada Configuration Guide

Release 16.0.x

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Publication Information

Release: Infor M3 Core 16.0.x

Publication Date: March 27, 2019

Document code: m3core_16.0.x_m3cvcacg__en-us

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About this guide

This guide provides high-level configuration guidelines for implementing this M3 Country Version. For detailed information, see the related documentation. A country version consists of several parts:

- Translations, which are divided in three areas:
 - Screen-related items and reports
 - Online help
 - User guides

There are no configuration options for translations.

- Unique functions for a country.

Requirements from a country are sometimes unique for that country.

- Configurations of other M3 modules.

Several requirements are almost identical in different countries, with only minor variances in the process. The ambition is to deploy these functions in the M3 modules that can be configured.

In other cases, to meet requirements, users can add content in various functions in M3 modules.

Intended audience

This guide is for the experienced Infor M3 CE Core users or consultants who are responsible for configuring this country version.

Related documents

You can find these documents in the Infor Support Portal:

- *M3 CE Core Release Notes*
- *M3 CE Core Administration Guide*, for information about MvxFileTransfer
- For Infor Local.ly™:
 - *M3 CE Core Integration Guide for Infor Local.ly GEMS*
 - *M3 CE Core Configuration Guide for Infor Local.ly Banking*
 - *M3 CE Core Configuration Guide for Infor Local.ly Trade Statistics and Infor Local.ly Tax Reporting*
 - *Infor Local.ly GEMS Administration Guide*

You can find the *M3 Business Engine User Documentation Infocenter* at <https://docs.infor.com>.

Contacting Infor

If you have questions about Infor products, go to Infor Concierge at <https://concierge.infor.com/> and create a support incident.

If we update this document after the product release, we will post the new version on the Infor Support Portal. To access documentation, select **Search > Browse Documentation**. We recommend that you check this portal periodically for updated documentation.

If you have comments about Infor documentation, contact documentation@infor.com.

Chapter 2: General configuration

This chapter includes general configuration areas specific to this country.

Country version Canada

Requirement

Set up a legal entity to support business operations in Canada.

M3 solution

Specific functions, configurations, and master data for Canada can be activated.

Configuration guidelines for 'Country. Open' (CRS045)

Connection with Division.

Field	Value
Country	CA
Country cd ISO	CA
Currency	CAD

You can leave the other fields blank or set them to 0.

Configuration guidelines for additional programs

Program ID	Program name	Description or comment
CRS008	Facility. Open	Connection with Division.
MMS005	Warehouse. Open	Connection with Division.
DRS045	Time Zone. Open	Connection with Division.
CRS055	Currency. Open	Connection with Division. Set the Currency field to CAD .

Program ID	Program name	Description or comment
MNS100/K	Company. Connect Division	Set the Global electronic messages field to 1-Activated . During migration from an earlier M3 version, you can use the value 2-Activated per user in CRS692/P to control details from the E and F panels in the old setup, compared to those from the K , L , and M panels in the new setup.
MNS100/L	Company. Connect Division	Leave the System config field blank. To activate country-specific functions, set the Country version field to CA-Canada .

Tax registration number

Requirement

All countries that have Goods and Services Tax (GST) as an indirect tax method require a GST registration number. It is often the organization number with an addition of the country or a state or province code.

In Canada, GST is a value added tax that is charged and reclaimable across the country. In addition, additional indirect sales taxes (PST, RST, or QST) are levied in most of the individual Canadian provinces.

In certain provinces, a Harmonized Sales Tax (HST) is levied. This tax is a combination of GST and PST in one tax rate.

All companies registered in Canada have a unique company number of up to 15 characters. This number is named Business Registration Number (BN), or *Numéro d'entreprise* (NE) in the Québec province, which identifies the legal entity.

M3 solution

The company's organization number and the tax and GST or PST registration numbers are stored on the division. The GST and PST numbers for the company's customers and suppliers are stored in their respective master records.

Configuration guidelines

Program ID	Program name	Description or comment
MNS100/G	Company. Connect Division	Specify the tax registration number and the GST registration number of the entity.

Program ID	Program name	Description or comment
CRS610/J	Customer. Open	Specify the GST registration number of the customer.
CRS620/E	Supplier. Open	Specify the GST registration number of the supplier.
CRS045	Country. Open	In the Chk dig mtd org field, set the validation method for the check digit of the tax registration number to 03 . In the Chk dig mtd VAT field, set the validation method for the GST registration number to 03 .
OIS002/F	Customer. Connect Addresses	Optionally, in the VAT reg no field, specify the GST registration number.

Format of bank account numbers

Requirement

Countries and banks have different structures for bank account numbers.

Canadian banks have similar but different combinations of structures in their format of bank account numbers. Main branches are also given a Business Identifier Code (BIC). In this country, the IBAN is not used.

M3 solution

The formats in this country for domestic and international bank accounts are supported by M3.

General configuration guidelines

Format	Example
Domestic bank account number	Numeric, four to nine digits long
Domestic branch code	Numeric, five digits long
Client number	Numeric, five digits long
Transit code or routing code	Numeric, four digits long
Bank identification number	Numeric, three digits long
Branch identifier code (BIC)	Alphanumeric, eight characters long Example for Royal Bank of Canada: ROYCCAT2

Specific configuration guidelines

Program ID	Program name	Description or comment
CRS072	Bank Account Indicator. Open	See the <i>M3 CE Core Configuration Guide for Infor Local.ly Banking</i> for the detailed configuration guidelines for the applicable messages.
CRS692	Bank Account. Open	
CRS690	Bank. Open	
CRS695	Bank Format. Open	

Book of accounts and voucher numbers

Requirement

Each document that is entered in the general ledger must have a chronological number, namely a voucher number. These number series are normally separated into subseries, which can be done in two ways:

- With a book of accounts, each number series starts from 1 every year.
- With separate number sequences, the series can be arbitrary, but they must not overlap.

M3 solution

Both alternatives are supported by M3.

In this country, the most common alternative is to use a book of accounts.

Configuration guidelines

Program ID	Program name	Description or comment
CRS750/F	Settings - General Ledger	Select or clear the Book of account check box.
CRS410	Voucher Number Series. Open	
CRS408	Book of Account. Display	
CRS412	FAM Function. Exception. Open	To replace the default values set in (CRS405).

Journal number

Requirement

All entries of accounting transactions that are specified in a general ledger must be numbered in an unbroken sequence.

M3 solution

M3 has one unbroken number series. M3 supports two internal number series:

- The journal number is a global number series for all accounting entries in M3. The journal number is annual and cannot be configured by the user.
- Voucher numbers can be grouped into a book of accounts and these groups can all start on 1 each year. These number ranges are configured by the user.

Configuration guidelines

Program ID	Program name	Description or comment
CRS750/E	Settings - General Ledger	External or internal transactions, or both
CRS400	Journal Number Series. Open	Reset for each financial accounting year

Storno accounting – a debit and credit code

Requirement

In many countries, debit and credit accounting entries are represented with positive (+) and negative (-) amounts in the various amount fields.

In countries that follow Storno accounting rules, a one-character code is used alongside the amount fields. With this code, negative debits and positive credits are allowed and are used to reflect correcting accounting entries.

M3 solution

In this country, debit and credit are usually represented by the Plus (+) and Minus (-) signs without any additional code.

Configuration guidelines

Program ID	Program name	Description or comment
CRS750/E	Settings - General Ledger	The Debit/credit cd field is normally cleared for this country.

Periodic or perpetual accounting method

Requirement

Accounting for purchases of inventory can follow the perpetual accounting method or the periodic accounting method:

- If perpetual accounting is used, then the balance sheet is directly updated with purchases.
- If periodic accounting is used, then the profit and loss account is the first account updated with purchases in the period.

M3 solution

To meet the preferred accounting preference of customers, this internal accounting rule can be set at the entity or division level. In this country, it is common to use perpetual accounting.

Configuration guidelines

Program ID	Program name	Description or comment
CAS900/E	Settings - Cost Accounting	We recommend that you set the 010 – Inventory System parameter to 1-Perpetual invent system .

Chapter 3: General ledger

This chapter includes configuration areas for the general ledger.

Chart of accounts (COA)

Requirement

Financial reporting and accounting for any business depends on a well-structured chart of accounts, so that collecting large volumes of accounting data can efficiently reflect the performance and position of a specific business.

M3 solution

An account coding string of seven accounting dimensions, each of ten characters, is supported by the general ledger in M3. The first dimension is defined as the chart of accounts. The remaining six dimensions or identities that are stored from the specified coding string can be used to further analyze the dimension-1 account.

Configuration guidelines

Program ID	Program name	Description or comment
CRS633	Account Group. Open	Connection to accounting identities of the dimension 1.
CRS630	Accounting Identity. Open	Dimension 1 – Definition and naming conventions and rules. Each of the seven identities is ten characters long. You can use logical coding: GL Header Account: 11 GL Nominal A/Cs: 110001 , 110002 , etc. In the E panel, select the applicable check boxes for the accounts.

Profit and loss report

Requirement

All registered companies must produce a profit and loss report, or an income statement, and send it to the government.

Financial reporting in Canada is regulated by the Accounting Standards Board (AcSB) with these recognized reporting frameworks:

- International Financial Reporting Standards (IFRS)
- Canadian Generally Accepted Accounting Principles (GAAP)

Publicly listed companies are required to apply IFRS in the preparation of their group accounts. Other entities have a free choice between the two.

M3 solution

With the M3 Financial Report Generator module (RGR), any type of official report can be formatted and produced from M3 General Ledger. The same reports can also be saved and used to provide the same information as an M3 online enquiry.

Configuration guidelines

Program ID	Program name	Description or comment
GLS690	GL Balance File Key. Open	Eight predefined balance keys exist, but you can create others as required for your business.
MNS204	Output Service Selection. Open	Create a record for the RGS655PF output file that is created by the report generator. Set the Layout field to A4 .
RGS600	Report. Open	
RGS610	Column. Open	
RGS620	Lines. Open	
RGS630	Cell. Open	
RGS010	User. Open for Report Distribution	
RGS220	User. Display for Report Distribution	Configure the online display of formatted reports.

Balance sheet report

Requirement

All registered companies must produce an annual return, which includes a balance sheet report that must be sent to the government.

Financial reporting in Canada is regulated by the Accounting Standards Board (AcSB) with these recognized reporting frameworks:

- International Financial Reporting Standards (IFRS)
- Canadian Generally Accepted Accounting Principles (GAAP)

Publicly listed companies are required to apply IFRS in the preparation of their group accounts. Other entities have a free choice between the two.

M3 solution

With the M3 Financial Report Generator module (RGR), any type of official report can be formatted and produced from M3 General Ledger. The same reports can also be saved and used to provide the same information as an M3 online enquiry.

Configuration guidelines

Program ID	Program name	Description or comment
RGR Module	Report Generator	As for the Profit and Loss report

Cash flow statement

Requirement

All registered companies must produce an annual return, which includes a cash flow statement that must be sent to the government.

Financial reporting in Canada is regulated by the Accounting Standards Board (AcSB) with these recognized reporting frameworks:

- International Financial Reporting Standards (IFRS)
- Canadian Generally Accepted Accounting Principles (GAAP)

Publicly listed companies are required to apply IFRS in the preparation of their group accounts. Other entities have a free choice between the two.

M3 solution

With the M3 Financial Report Generator module (RGR), any type of official report can be formatted and produced from M3 General Ledger. The same reports can also be saved and used to provide the same information as an M3 online enquiry.

Configuration guidelines

Program ID	Program name	Description or comment
RGR Module	Report Generator	As for the Profit and Loss report

General ledger report

Requirement

The provision of a general ledger report, by an accounting system, is commonly required.

M3 solution

The historic transaction report that is produced for each account identity shows this information:

- Opening balance
- All transactions in accounting date sequence
- Closing balance

Configuration guidelines

Program ID	Program name	Description or comment
GLS535	Account. Print Specification	Report with version control and 17 unique report layouts
GLS525	General Ledger. Print	Report with five unique report layouts and print options

Trial balance report

Requirement

The provision of a trial balance report over the general ledger, by an accounting system, is a fundamental accounting requirement.

M3 solution

A five-column report shows this information for each account:

- Opening balances
- Period balances
- Closing balances

An eight-column report shows this information for each account, with separate columns for debit and credit values:

- Opening balances
- Period balances
- Period movements and closing balances

Configuration guidelines

Program ID	Program name	Description or comment
GLS510	General Ledger. Print Balance Lists	Report with version control and eight unique report layouts
GLS635	Balance 8 Columns. Print	With currency handling and page numbering

Voucher report

Requirement

The provision of a report over all vouchers in the system, by an accounting system, is a common audit and internal control requirement.

In this country, no specific layout is required for this audit report.

M3 solution

A standard report can be used for printing all vouchers in a number sequence or an accounting book.

Configuration guidelines

Program ID	Program name	Description or comment
GLS960	Voucher. Check Number	Report by voucher series and From date

Business segment reporting – IFRS 8

Requirement

Companies that have operations in different geographies or with different product lines must report revenues, costs, and working capital per business segment.

M3 solution

Accounting events, types, and setups can be configured to ensure that revenues and costs per customer and supplier invoice are booked to business segments using one of the seven accounting dimensions.

Outstanding customer invoices at period end that are a part of the working capital can be managed with a specific function. With this function, the debt or liability amount can be reallocated pro rata to the segmental revenue or cost on each invoice.

Configuration guidelines

Program ID	Program name	Description or comment
CRS012	Accounting Dimension. Enter Names	You can use one of the seven dimensions to ensure that revenues and costs per customer and supplier are booked to business segments. Thus, compliance with the IFRS 8 requirements for business segment reporting is ensured.
CRS395	Accounting rule. Set	Configure the setups to capture the information for segment reporting.
CRS645	Accounting Structure. Open	Accounting structures can also be used for segment reporting.
GLS690	GL Balance File Key. Open	
CRS410	Voucher Number Series. Open	If the M3 book of accounts (BOA) functionality is being used, then a separate book of accounts for segment reporting can be created and attached to the FAM functions. See the settings for (CRS405).
CRS722	Settings – Customer Order Invoicing	Select the Sep voucher no check box.
CRS405	FAM Function. Open	Configure FAM functions AR99 and AP99.
APS590	AP Segment Balance. Create	Period-end segmentation of AP Control.
ARS590	AR Segment Balance. Create	Period-end segmentation of AR Control.

Foreign currency revaluation – IAS 21

Requirement

A currency revaluation is required in the local reporting currency of open positions in foreign currencies, using an exchange rate at the period closing date.

M3 solution

Unrealized gains and losses related to currency exchange rates and due to open currency invoices in the accounts receivable ledger and the accounts payable ledger can be recognized at period end for these balances:

- Accounts receivable
- Accounts payable
- Currency bank balances

Currency bank balances and investments in foreign currencies can also be revalued.

Configuration guidelines

Program ID	Program name	Description or comment
CRS056	Exchange Rate Type. Open	
CRS059	Exchange Rate Type. Open per Currency	
CRS630	Accounting Identity. Open	Select the Rev account check box for accounts that are to be revalued.
CRS395	Accounting Rule. Set	Configure accounting rules for events GL20 , GL21 , and GL22 .
CRS405	FAM Function. Open	Configure function GL20 .
GLS160	Unrealized Exchange Rate Variance. Update	Select a revaluation account: 1-Currency amount 2-Accounts receivable 3-Accounts payable

Chapter 4: Accounts receivable

Use the guidelines in this chapter to configure accounts receivable for this country version.

Accounts receivable balance report

Requirement

The provision of a trial balance report over accounts receivable balances, by an accounting system, is commonly required.

M3 solution

For this purpose, the Accounts Receivable report shows this information for each customer:

- Opening balance
- Period balance
- Closing balance

A specific report shows this information per debit and credit:

- Opening balance
- Period balance
- Period movements
- Closing balance

Configuration guidelines

Program ID	Program name	Description or comment
ARS520	Acc Receivable. Print Balances	Version control and six unique report layouts
ARS605	Trial Balance - AR. Print	Currency handling and two unique report layouts

Accounts receivable invoice report

Requirement

The provision of a report on accounts receivable, by an accounting system, is commonly required. This report must specify the invoices for which a balance in the accounts receivable ledger and in the general ledger is created.

M3 solution

The detailed report shows the list of all open invoices at a specified date. This report can also show the list of all open invoices that were open at a date and that are still open at a later date.

Configuration guidelines

Program ID	Program name	Description or comment
ARS500	Accounts Receivable. Print	Four invoice selections and two unique report layouts

Reminder letters and penalty interest processing

Requirement

Some customers must be reminded to pay outstanding invoices. The penalty interest procedure is not required, but if a company wants to charge interest, it must be done legally.

M3 solution

The credit management process that is supported by M3 consists of these main activities:

- 1 An itemized monthly statement is sent to the Accounts Payable department for each customer with unpaid invoices. The statement includes a summary of the total debt that is split into aging buckets.
- 2 The statement is followed by one to three reminder letters. These are only sent to customers with unpaid overdue invoices, according to their payment terms.
- 3 Then, if still not paid, the total debt owed by a customer is represented by several individual invoices and handed over for legal collection.

A penalty interest invoice can also be used as part of the collection process. In this case, the invoice or the reminder letter must indicate that interest is calculated from the due date until the payment date.

Configuration guidelines

Program ID	Program name	Description or comment
CRS165	Number Series. Open	For dunning letters, create a record for the number series type 50 with the number series 1. For collections, create a record for the number series type 50 with the number series 4. If interest invoicing is to be used, create a record for the number series type 51 with the number series 1.
CRS465	Payment Reminder Rule. Open	Connection with Customer Master.
ARS007	Interest ID. Open	Connection with Customer Master.
ARS010	Payment Reminder Rule. Enter Text	
ARS080	Interest Invoicing Rule. Enter Text	
ARS085	Collection. Enter Text	
CRS610/K	Customer. Open	To include the customer in the payment reminder routine, select the Pmt remind rule check box, and select the relevant payment reminder rule. If the customer is to be included within the collection routine, select the Collection check box. Note: If penalty interest invoicing is valid for the customer, select the Interest rule field and select the applicable interest rule. The interest rules are created in 'Interest Invoicing Rule. Open' (CRS460), and the text is specified in 'Interest Invoicing Rule. Enter Text' (ARS080).
ARS150	Payment Reminder. Open	M3 Proposal with edit and then update.
ARS160	Interest Invoice. Open	M3 Proposal with edit and then update.
ARS170	Collection. Open Assignment	M3 Proposal with edit and then update.

Customer statements

Requirement

With customer statements, customers can reconcile their account information, resolve outstanding issues, and arrange prompt payment based upon agreed payment terms.

M3 solution

Customer statements can be printed with or without suitable aging rules and based on the invoice date or the due date.

Configuration guidelines

Program ID	Program name	Description or comment
CRS165	Number Series. Open	Create the number series type 50 with the number series 2.
ARS005	AR Statement of Account. Enter Text	
CRS470	Payment Forecast. Open	Connection with Statement Rule.
CRS665	Statement Rule. Open	Connection with Customer Master.
CRS610/K	Customer. Open	Set the Statement code field to 2-Statement without aging or 3-Statement with aging buckets . Specify a value in the Statement rule field.

Customer payment processing

Requirement

For the effective management and allocation of customer payments that are related to open invoices, a file from the bank or an electronic bank statement can be used.

M3 solution

The Automatic Bank Statement functionality in M3 is used to manage bank statements based on the received bank statement file. The bank statement lines can then be automatically allocated to customer and supplier invoices.

This message has been adapted for this country version, as made available in Infor Local.ly Banking, 'Bank Statement Posting & Automatic Reconciliation-100010': 'XC - Bank Statement camt054'.

Configuration guidelines

Program ID	Program name	Description or comment
CRS395	Accounting Rule. Set	Configure accounting rules for events AB10 , AR30 , and AP20 .
CRS405	FAM Function. Open	Configure functions AB10 , GL01 , AR30 , and AP20 .

Program ID	Program name	Description or comment
CRS108	Field Group. Open	To generate the standard field groups, select Actions > Gen data .
CRS109	Field Group. Display Permitted Fields	To generate the standard fields, select Actions > Standard for the ABUS1 field group.
CMS016	Available Object Ctrl Parameters. Open	To generate the standard object control parameters, select Actions > Gen data .
CMS017	Generic Object Control Table. Open	Set the fields to be used for defining payment variances. To open (CMS017), you must first select the relevant ABS records. For example, select ABS920 or ABS910 , then Related > Ob tbl det lin .
ABS920	Payment Variance Limit. Define	Based on the fields set in (CMS017), set the prioritization of the business transaction codes.
CRS692	Bank Account. Open	Records for these bank account types must exist: Company bank account, of type 1 Customer bank account, of type 2 Supplier bank account, of type 3
ABS911	Scenario Number. Open	Create the scenarios for the bank transaction that a statement line refers to, for example a scenario in which an invoice is searched.
ABS910	Scenario Number. Prioritize	Set the prioritization of the scenario numbers.
ABS930	Additional Information. Structure	This program is used to improve the efficiency of the search for the appropriate invoices. This program can be set at a high level for all invoices or for specific ranges of invoices.
ABS920	Payment Variance Limit. Define	You can prioritize the business transaction codes.
ABS900	Bank Account Identifier. Open	See the <i>M3 CE Core Configuration Guide for Infor Local.ly Banking</i> for the detailed configuration guidelines required for the upload of the electronic message.

Program ID	Program name	Description or comment
ABS100	Bank Statement. Open	Set the Release manually allocated invoices (Rel man all inv) field on the settings in (ABS100) as required. To change this, select Actions > Settings . Validate the received statement.

See the *M3 CE Core Configuration Guide for Infor Local.ly Banking* for the detailed configuration guidelines for the applicable message.

Chapter 5: Accounts payable

Use the guidelines in this chapter to configure the accounts payable for this country version.

Accounts payable balance report

Requirement

The provision of a trial balance report over accounts payable balances, by an accounting system, is commonly required.

M3 solution

The Accounts Payable report shows this information for each supplier:

- Opening balance
- Period balance
- Closing balance

A specific report shows this information per debit and credit:

- Opening balance
- Period balance
- Period movements
- Closing balance

Configuration guidelines

Program ID	Program name	Description or comment
APS530	Accounts Payable. Print Balances	Version control and six unique report layouts
APS605	Trial Balance. AP Print	Currency handling and two unique report layouts

Accounts payable invoice report

Requirement

The provision of a report over the accounts payable ledger, by an accounting system, is commonly required. This report must specify the invoices included in the balance in the accounts payable ledger and the general ledger.

M3 solution

The detailed Accounts Payable report shows the list of all open invoices at a given date. In addition, the same report can show a list of all open invoices that were open at a date and that were still open at a later date.

Configuration guidelines

Program ID	Program name	Description or comment
APS500	Accounts Payable. Print	Four invoice selections and two unique report layouts

Supplier payments

Requirement

Functionality for payments and remittances of invoices to approved suppliers, through the banking systems of a specific country, is a normal business requirement.

Supplier payments are normally made by check or credit transfer. All interbank transactions are controlled and cleared centrally by the Canadian Payment Association (CPA). This association is jointly supervised by the Bank of Canada and the Department of Finance Canada.

M3 solution

Supplier payments can be managed electronically or manually. Manual methods include check printing or delivering payment orders to the bank.

Supplier checks are generated from the M3 Payment proposal. After the printing of a check run, check numbers are recorded in M3 for subsequent bank statement reconciliation. Void checks and reprints are supported in this process.

Configuration guidelines

See [Electronic supplier payments](#) on page 28.

Electronic supplier payments

Requirement

Functionality for electronic payments and remittances of invoices to approved suppliers, through the banking systems of a specific country, is a normal business requirement.

All interbank transactions are controlled and cleared centrally by the Canadian Payments Association (CPA). This association is supervised jointly by the Bank of Canada and the Department of Finance Canada.

M3 solution

The supplier payment proposal selects the invoices and credit invoices that are to be included in a payment run. On update of the proposal, a detailed electronic payment file, following international banking standards, is produced.

Electronic Payments in CAD or USD can be processed by the CPA.

For this country version, this message has been adapted for domestic payments for CAD and USD according to Infor Local.ly Banking, 'Credit Transfer - 100023':

- CA - Credit Transfer ACH094 RBC

Configuration guidelines

Program ID	Program name	Description or comment
APS130	Supplier Payment Proposal. Open	Create a proposal, review and confirm it.

See the *M3 CE Core Configuration Guide for Infor Local.ly Banking* for the detailed configuration guidelines for the applicable messages.

Overhead commitment control

Requirement

Purchasing of M3 non-stock items can be controlled against financial budgets. An additional budget can be used where an overspend on the original budget amount is approved.

M3 solution

Commitment is monitored from the point a department enters a purchase requisition for a non-inventory item. If the accounting string that is used is included in the control budget, this calculation is automatically performed:

Budgeted value + Manually-entered overspend - Actual year-to-date value for the accounting string - Committed value

If the calculated amount is greater the PO line amount, then it is added to the general ledger balance file for the budget that is reserved for committed values. If the PO line is to be deleted afterward or the status is changed from Definitive to Preliminary, then the procedure is reversed. When the goods are received or when the invoice is recorded, the committed amount is deducted automatically.

If the calculated amount is lower than the PO line amount, then the PO is either blocked and updated with the status 14 or a warning is issued, depending on the selection in (CRS750/G). See the configuration guidelines.

Configuration guidelines

Program ID	Program name	Description or comment
CRS012	Accounting Dimension. Enter Names	Connection to general ledger settings.
BUS100	Budget. Open	Connection to general ledger settings. Create these budgets: An expenditure control budget An empty budget that is reserved for committed expenditures A budget for manual entry of approved overspend
CRS750/G	Settings - General Ledger	Select the Use commitment check box, specify the used budgets, and set the other fields accordingly.
PPS970	Commitment. Calculate	Run to update the commitment budget manually. Note: The commitment budget is updated overnight with committed values by M3 Job Scheduler. Old values are thus continuously replaced with new values.
GLS216	Column Template - Balance Inquiry. Open	Include the commitment budgets in a column template. Connection to 'GL Balance File. Display' (GLS215).
GLS215	GL Balance File. Display	To display actual against commitment information for the affected cost centers or departments, use the column template for commitment budgets. See the hereinabove description for (GLS216).

Chapter 6: Fixed assets

Use the guidelines in this chapter to configure fixed assets for this country version.

Depreciation

Requirement

As commonly required, the value of fixed assets is reduced over time to reflect the fact that the business is consuming their economic value. Depreciation is the accounting method used to reflect this reduction in value. Different businesses in different countries can use different depreciation methods and rules to calculate a periodic depreciation charge.

A fixed asset can have an economic life between 1 and 50 years.

M3 solution

The M3 Fixed Asset module supports different depreciation methods and bases. These rules are then used to create asset-specific depreciation plans over the asset lifetime. Each fixed asset can be depreciated by different rules, for example, book or tax depreciation.

Configuration guidelines

Program ID	Program name	Description or comment
FAS050	FA Depreciation Type. Open	Connection with Fixed Asset Type.
FAS060	FA Value Type. Open	Connection with Fixed Asset Type.
FAS070	FA Location. Open	Connection with Fixed Asset Type.
FAS080	FA Group. Open	Connection with Fixed Asset Type.
FAS075	FA Type. Open	
CRS395	Accounting Rule. Set	Configure for event FA10 .
CRS405	FAM Function. Open	Configure function FA10 .
FAS920	Settings - Extraordinary Depreciation	

Program ID	Program name	Description or comment
FAS040 FAS045	Column Template - Display FA. Open Column Template FA Value. Open	Create templates to allow the display and reporting of assets.
FAS100	FA Depreciation. Create Account Entries	Create a proposal, review and update it.

Fixed asset reporting

Requirement

The reporting of fixed asset movements, transfers, sales, and disposals is commonly required.

M3 solution

M3 functionality includes specific reports that support annual reporting requirements for these fixed asset movements in the accounting year:

- Asset transfers
- Sales of assets
- Disposals of assets

Configuration guidelines

Program ID	Program name	Description or comment
FAS500	Fixed Asset. Print Catalog	
FAS510	Fixed Asset. Print Values	
FAS515	Fixed Asset. Print Detailed Catalog	
FAS520	Fixed Asset. Print Period Changes	
FAS530	Fixed Asset. Print Historical Values	
FAS550	Fixed Asset. Print Values Detailed	

Fixed asset impairments – IAS 36

Requirement

If the current market value of a fixed asset is lower than its net book value, then the company must adjust the carrying value of the asset to reflect the lower market value. To identify the possibility of such book adjustments, the company must create an impairment test for all relevant assets.

M3 solution

There may be an external indication to the company that the value of an asset has fallen. Alternatively, to help determine which assets must be impaired, the reacquisition value is calculated at year end by 'Annual Run. Perform' (FAS190), using price index tables. This indexed value is then compared against the current net book value. If the re-acquisition value is lower than the net book value, then an additional depreciation adjustment must be booked to reflect the impairment write-down.

As soon as the requirement for impairment is apparent, an extraordinary depreciation is created by 'FA Depreciation. Create Extraordinary' (FAS140) for each fixed asset that is affected.

Configuration guidelines

Program ID	Program name	Description or comment
FAS090	Cost of Capital Method. Open	Define a method for the cost of capital. Assign this method to the fixed assets that may require impairment using the fixed asset type or the fixed asset directly.
CRS395	Accounting Rule. Set	Accounting rules FA30 520 and FA30 530 are used for the impairment of fixed assets, to post the results of the extraordinary depreciation.
CRS405	FAM Function. Open	Configure FAM functions FA20 and FA30 .
FAS915	Settings - Cost of Capital Calculation	Select the Upd history (Update history) check box. Set the Value Type field to 60-Cost of Capital .
FAS040 FAS045	Column Template - Display FA. Open Column Template FA Value. Open	Create templates to display the carrying amount, the fair value, and the value in use of the assets. Create templates to determine that only fixed assets whose carrying amount is greater than the recoverable amount are to be printed.
FAS060	FA Value Type. Open	To store the impairment adjustment.
FAS140	FA Depreciation. Create Extraordinary	To book the accounting adjustment.

Program ID	Program name	Description or comment
FAS200	Fixed Asset. Display	To display the impairment value.
FAS510	Fixed Asset. Print Values	To print asset and impairment values.

Revaluation of fixed assets – IAS 16

Requirement

Subsequent to a revaluation, the carrying amount of an asset may increase. In that case, the increase is recognized in other comprehensive income and accumulated in equity in the revaluation surplus account. If the increase reverses a revaluation decrease of the same asset that has already been recognized in profit or loss, then it is recognized in profit or loss to the extent of the previous loss.

M3 solution

The IAS 16 requirement is supported by a fixed asset revaluation function in M3.

Configuration guidelines

Program ID	Program name	Description or comment
FAS910	Settings - Asset Revaluation	
CRS395	Accounting Rule. Set	Configure rules for event FA90 .
CRS405	FAM Function. Open	Configure FAM function FA90 .
FAS001	Fixed Asset. Open	The date of the last revaluation is stored.
FAS050	FA Depreciation Type. Open	
FAS060	FA Value Type. Open	
FAS077	Fixed Asset Type - Depreciation Type. Open	
FAS110	Asset Revaluation	

Chapter 7: Current assets

Use the guidelines in this chapter to configure current assets for this country version.

Inventory valuation – IAS 2

Requirement

Inventories are to be valued at the lowest of acquisition cost and net sales value.

Acquisition cost value can be calculated using the FIFO method or the average method. Obsolescence adjustments from 2% to 5% are acceptable, depending on the industry. The net sales value is a part of the sales price or repurchase price.

M3 solution

M3 supports a specific period-end function that can be configured to fulfill the legal requirement regarding inventory valuation. For each inventory item, a specification of the calculated values is available online and an accounting adjustment voucher is created.

Configuration guidelines

Program ID	Program name	Description or comment
CAS020	Settings - Inventory Value Variances	
CAS025	Settings. Inventory Valuation	
CRS395	Accounting Rule. Set	Rules for accounting adjustments at the end of the period for inventory valuation
CRS630	Accounting Identity. Open	Accounts that are used for cost and value adjustments
CAS180	Inventory Value. Open	Valuation at the end of the period, with comparison of inventory cost and value
CAS400	Historic Actual Cost. Calculate	

Work-in-progress valuation – IAS 2

Requirement

At period end, as part of the process of valuing inventory, a valuation of work in progress is also required.

M3 solution

A specific period-end function is used to generate a valuation of work in progress. Accounting and a detailed specification to support the balance sheet value are provided.

Configuration guidelines

Program ID	Program name	Description or comment
CAS030	Settings - WIP Valuation	
CRS395	Accounting Rule. Set	Rules for accounting adjustments at the end of the period for inventory valuation
CRS630	Accounting Identity. Open	
CAS170	WIP Value. Open	

Chapter 8: Taxes

Use the guidelines in this chapter to configure the tax-related functionality for this country version.

GST reporting

Requirement

In this country, the Goods and Services Tax (GST) is an indirect tax. GST is a value added tax and is based on central government. GST is collected on most goods and services. Businesses that are meeting certain criteria are legally required to charge GST on supplied goods and services and in return can reclaim GST paid on purchases.

The Provincial Sales Tax (PST) is a retail sales tax that is levied by provinces. This tax applies when a taxable good or service is purchased, acquired or brought into a province, unless a specific exemption applies.

In some Canadian provinces, the GST is combined with provincial taxes into one Harmonized Sales Tax (HST).

All system transactions relating to trading of goods and services are assigned a VAT code and rate for the type of transaction and the movement of goods between and within countries.

M3 solution

M3 delivers generic functionality that supports the calculation, accounting, reporting, and reconciliation of GST. All businesses in Canada registered for GST are required to submit periodic returns to the tax authorities.

Configuration Guidelines (GST Canada)

Program ID	Program name	Description or comment
MNS100/G	Company. Connect Division	Set the GST tax method per division and specify the company tax and GST number.

Program ID	Program name	Description or comment
CRS750/F	Settings - General Ledger	Set the VAT from date field. Select the VAT chk online check box. Set the Accept VAT dev field (acceptable VAT deviation) to, for example, 0.01. Set the VAT date type field to 2-Invoice date . Set the VAT printout field to 3-VAT on inv & in AP .
CRS030 CRS031	VAT Code. Open VAT Rate. Open	Configuration – basic principles: GST or HST use M3 VAT Rate 1. QST requires three decimal places. PST can be self-assessed. GST and PST can be non-deductible. To replace VAT codes, use (TXS020). Tax Reporting is based on the M3 VAT code. See the table below for detailed recommendations.
CRS395	Accounting Rule. Set	Configure all GST setups.
CRS630	Accounting Identity. Open	Set the GST account types as required.
CRS610/J	Customer. Open	Set the Tax applicable field and specify the GST code.
CRS624/F	Supplier. Define Purchase & Financial	Set the Tax applicable field and specify the GST code.
MMS001/G	Item. Open	Set the VAT code purch and VAT code sales fields to the GST codes for purchasing and selling.
MMS002/I	Item. Connect Warehouse	To open (MMS002), select a record in (MMS001), then select Related > Item/Warehouse . In (MMS002/I), set the VAT code purch and VAT code sales fields to the GST codes for purchasing and selling.
OIS002/F	Customer. Connect Addresses	Optionally, in the VAT reg no field, specify the VAT registration number.
TXS005- TXS009	VAT Report Template. Open	Specify the content required for the provincial sales tax and GST report.
TXS020	VAT Exception. Open	For replacement GST code handling.
TXS030	Fiscal Representation. Open	Complete if relevant.

Program ID	Program name	Description or comment
TXS100	VAT Run. Open	Periodic indirect tax reporting for GST and PST.

Configuration settings for 'VAT Code. Open' (CRS030)

VAT code	Description	VAT method	PST/QST	Non deductible	S-A PST
	Province AA (GST/HST)				
00	Tax at Zero Rate	1 or 2			
01	Standard GST or HST	1			
02-04	Reduced rate GST or HST	1			
05-08	Non-deductible GST or HST	1		Rate 1	
09	Non-Domestic Supplies	1			
	Province BB (GST and PST)		PST		
10	Zero rate GST with PST	2	PST		
11	Standard GST and PST	2	PST		
12-14	Reduced rate GST and/or PST	2	PST		
15-18	Non-deductible GST or PST	2	PST	Rates 1 & 2	
19	GST and Self-Assessed PST	2			Yes
	Province QQ (GST and QST)		QST		
20	Zero rate GST with QST	1	QST		
21	Standard GST and QST	1	QST		
22-24	Reduced rate GST and/or QST	1	QST		
25-28	Non-deductible GST or QST	7	QST	Rates 1 & 2	
29	GST and Self-Assessed QST				Yes
30-39	Province CC	1			
40-49	Province DD	1			
50-59	Province EE	1			
60-69	Province FF	1	1		
70-79	Province GG	1	1		
80-89	Province HH	1			

VAT code	Description	VAT method	PST/QST	Non deductible	S-A PST
90-99	Province II	1			

Note: Starting with codes using first digit *0n* through to digit *9n*, this will give M3 VAT codes for ten provinces in Canada as a basic coding structure designed to allow tax reporting by Canadian province using the M3 VAT function (TXS100).

Sales tax

Requirement

Sales tax can be applied in this country.

M3 solution

M3 delivers generic functionality that supports the calculation, accounting, reporting and reconciliation of sales tax. Sales tax may be calculated in M3 or it is possible to connect to a third-party system, AvaTax or Vertex, to process all sales tax or just sales tax on customer invoices, with sales tax on supplier invoices being processed in M3.

Configuration guidelines for managing sales tax in M3

For further details, see the financial accounting user guides on <https://docs.infor.com/>.

Program ID	Program name	Description or Comment
MNS100/G	Company. Connect Division	Set the sales tax method per division and specify the geographic code.
CRS793	Settings – Sales Tax	Identify five jurisdictions and specify which one is identified as State . If a third party system is being used, then you must configure other fields.
CRS046	States per Country. Open	Select a sales tax rule for states: 1-Destination 2-Origin 3-Mixed Connection with Geographic code.

Program ID	Program name	Description or Comment
CRS043	Jurisdiction per State. Open	Specify the sales tax rule from 1-Destination or 2-Origin . This information is relevant only if the sales tax rule field has been previously set to 3-Mixed in (CRS046).
CRS130	Tax Code. Open	See the detailed configuration settings for (CRS130). Connection with Geographic Code.
CRS137	Geographical Code. Enter Jurisdiction	Specify the geographical codes.
CRS138	Geographic Code. Enter Tax Rate	Specify the applicable tax rates.
CRS139	Geographic Code. Enter Exemptions	Specify the applicable exemption tax rates
TXS050	Sales Tax Exemption. Open	Specify replacing tax codes for the scenarios where exemption tax rates are required in 'Geographic Code. Enter Exemptions' (CRS139).
TXS060	Sales Tax Nexus. Open	
CRS065	Delivery Term. Open	Select the tax point.
CRS300	Ship-Via Address. Open	Specify a state, and whether the ship-via address is a drop box.
MMS005	Warehouse. Open	Specify the geographical code.
MMS001	Item. Open	Specify the default tax code.
CRS624	Supplier. Define Purchase & Financial	Specify whether tax is included and specify the default tax code.
PPS280	Costing Element. Open	Specify an element for tax with operator 90 . Set the tax code for USE tax.
CRS610	Customer. Open	Specify an address, a geographical code, a tax code, and a delivery term. If applicable, specify a tax exemption contract number.
OIS002	Customer. Connect Addresses	Specify an address and, if applicable, a ship-via address.
CRS395	Accounting Rule. Set	Configure all sales tax setups.
TXS500	Sales Tax. Print	

Specific configuration guidelines for 'Tax Code. Open' (CRS130)

Suggested tax codes:

Tax Code	Description	Taxable	Tax type
CRE	Tax adjustment credit	Yes	1-Sales tax
DEB	Tax adjustment debit	Yes	1-Sales tax
EXE	Exempt	No	1-Sales tax
NOT	No tax	No	1-Sales tax
STX	Seller use tax	Yes	2-Seller use tax
TAX	Normal sales tax	Yes	1-Sales tax
USE	Tax surcharge	Yes	5-Use tax
XTX	High rate tax	Yes	1-Sales tax

Integration to AvaTax

These instructions only apply if AvaTax is used for sales tax service.

Configuration guidelines for managing sales tax in AvaTax

Program ID	Program name	Description or Comment
MNS100/G	Company. Connect Division	Select the Tax method field to 3, 4 or 5 depending on the appropriate sales tax method.
CRS794	'Integration Settings - Tax Interface'	In Sls tax interf, select 2-AvaTax to specify the applicable sales tax service. In Server address, specify the URL provided for AvaTax, for example https://sand-box-rest.avatax.com. In Account number, specify the account number provided for AvaTax. In License, specify the license provided for AvaTax.
CRS793	Settings – Sales Tax	The available fields depend on the settings in MNS100/G. Update tax details – If you select this check box, detailed tax information can be reviewed in (OIS354), (SOS354) or (COS354). Note: This can impact the system performance. If the check box is cleared, the tax details are not stored in M3, and can only be reviewed in AvaTax. If you select Incl tax in MI, also specify the number of rows to send in Max line no.

Program ID	Program name	Description or Comment
CRS130	Tax Code. Open	See the detailed configuration settings for (CRS130), and populate Tax code AvaTax with the information provided for AvaTax.
TXS050	Sales Tax Exemption. Open	Only if tax method 5 - Purchase M3 sales tax / Sales tax interface is used: Specify replacing tax codes for the scenarios where exemption tax rates are required in 'Geographic Code. Enter Exemptions' (CRS139).
MMS005	Warehouse. Open	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the geographical codes.
CRS235	Internal address. Open	Use address type 1 – 'Final destination or goods receiving address to specify the internal address. The address information is required to determine the taxing jurisdiction. Address line 1 and 2 for the street address, the city and the postal code will be sent to AvaTax to determine the origin address.
MMS001	Item. Open	Specify the default tax code.
CRS137	Geographical Code. Enter Jurisdiction	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the geographical codes.
CRS138	Geographic Code. Enter Tax Rate	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the applicable tax rates.
CRS139	Geographic Code. Enter Exemptions	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the applicable exemption tax rates.
CRS624	Supplier. Define Purchase & Financial	If tax method 4 – 'Purchase VAT/Sales tax interface is used, specify the applicable VAT related fields. If tax method 5-'Purchase M3 sales tax/Sales tax interface' is used: Specify geographical code, select Tax included if applicable, and select the default tax code.
PPS280	Costing Element. Open	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Create an element for tax with operator 90 . Set the tax code for USE tax.

Program ID	Program name	Description or Comment
CRS610	Customer. Open	Specify an address, a tax code and a use code. The address information is required to determine the taxing jurisdiction. Address line 1 and 2 for the street address, the city and the postal code will be sent to AvaTax to determine the destination address.
OIS002	Customer. Connect Addresses	Specify an address. The address information is required to determine the taxing jurisdiction. Address line 1 and 2 for the street address, the city and the postal code will be sent to AvaTax to determine the destination address.

Specific configuration guidelines for 'Tax Code. Open' (CRS130)

Tax codes corresponds to customers and products in AvaTax. They must be configured and assigned. Both customer and item tax codes are configured in this program. Select **Taxable** for all tax codes, even if you have non-taxable customers or products, to ensure that the tax decision takes place in AvaTax. With this setting, all tax decisions are deferred to the external system, and this simplifies the reconciliation of sales with taxable and non-taxable transactions.

In addition to these settings, the **Tax cd AvaTax** must be populated with information from AvaTax.

This is an example of tax codes for Clothing & related products (Business-To-Business):

Tax Code	Description	Taxable	Tax trans code	Tax cd AvaTax	AvaTax description
TX1	Normal sales tax	Yes	N-Normal invoice	PC030100	Clothing & related products (B2B) - General
TX2	Normal sales tax	Yes	N-Normal invoice	PC030101	Clothing & related products (B2B) - Aprons - household
TX3	Normal sales tax	Yes	N-Normal invoice	PC030103	Clothing & related products (B2B) - Athletic supporters
TX4	Normal sales tax	Yes	N-Normal invoice	PC030105	Clothing & related products (B2B) - Bandanas

Integration to Vertex

These instructions only apply if Vertex is used for sales tax service.

Configuration guidelines for managing sales tax in Vertex

Program ID	Program name	Description or Comment
MNS100/G	Company. Connect Division	Set the Tax method field to 3, 4 or 5 depending on the appropriate sales tax method.

Program ID	Program name	Description or Comment
CRS794	'Integration Settings - Tax Interface'	In Sls tax interf, select 1-Vertex to specify the applicable sales tax service. In Vertex server, specify the URL provided for Vertex, such as https://xxx.ver-texxx.com/vertex-ws/services. Specify the applicable credentials depending on the authentication method of your version of Vertex: Trusted ID Specify this field if applicable, or leave it blank and specify a combination of password and user. User Specify this field if user and password is required for authentication, or leave it blank and specify a trusted ID. Password Specify this field if user and password is required for authentication, or leave it blank and specify a trusted ID. In Logging level, select the default log level for Vertex logging. Specify timeouts as applicable: Timeout in sec The field indicates the timeout value in seconds. This timeout determines when the M3 program will stop waiting for the Vertex server to respond. Set this to 0 seconds if you never want a timeout. Note: If the time out is set to 0 and the Vertex server does not respond due to unavailability, the M3 Business Engine job will become unresponsive. Timeout sec MI The field indicates the timeout value in seconds after which M3 BE will stop waiting for Vertex to respond, when Vertex is called to calculate tax on order totals for the MI transactions 'GetHead' and 'GetOrderValue' in OIS100MI. The field is used when the field 'Include tax in MI' is selected in 'Settings - Sales Tax' (CRS793). We recommend a maximum of 30 seconds.

Program ID	Program name	Description or Comment
CRS793/E	Settings – Sales Tax	The available fields depend on the settings in MNS100/G and CRS794. Street name – This indicates which ship-to or customer address line that contains the street address. This is used in combination with the state and zip code for Tax area ID lookup. City name line – This indicates which ship-to or customer address line that contains the city name. This is used in combination with the state and zip code for Tax area ID lookup. Sales tax cust – This represents the customer in Vertex. The user can select the fields in M3 to represent the customer for Vertex. Sales tax item – This represents the product in Vertex. The user can select the fields in M3 to represent the product for Vertex exception based processing. Update tax details – If you select this check box, detailed tax information can be reviewed in (OIS354), (SOS354) or (COS354). Note: This can impact the system performance. If the check box is cleared, the tax details are not stored in M3, and can only be reviewed in Vertex.
CRS793/F	Settings - Sales Tax	Additional fields can be included to enable tax rule definitions in Vertex per transaction type.
CRS130	Tax Code. Open	Select Taxable for all applicable tax codes. See the detailed configuration settings for (CRS130).

Program ID	Program name	Description or Comment
CRS129	M3 Geographic code lookup. Open	Ship-from location – these tax area IDs are used from the shipping warehouse. However, if an alternative warehouse is used, the tax area IDs from that warehouse is used. Ship-to location– M3 BE uses the customer address or customer ship-to address to determine these tax area IDs. Order acceptance location – this tax area ID is taken from the main warehouse connected to the selling facility. Note: This function is called from M3 Browse.
TXS050	Sales Tax Exemption. Open	Only if tax method 5 - Purchase M3 sales tax / Sales tax interface is used: Specify replacing tax codes for the scenarios where exemption tax rates are required in 'Geographic Code. Enter Exemptions' (CRS139).
MMS005	Warehouse. Open	Specify the geographical code.
MMS001	Item. Open	Specify the default tax code.
CRS137	Geographical Code. Enter Jurisdiction	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the geographical codes.
CRS138	Geographic Code. Enter Tax Rate	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the applicable tax rates.
CRS139	Geographic Code. Enter Exemptions	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Specify the applicable exemption tax rates.
CRS624	Supplier. Define Purchase & Financial	If tax method 4 – 'Purchase VAT/Sales tax interface' is used, specify the applicable VAT related fields. If tax method 5-'Purchase M3 sales tax/Sales tax interface' is used: Specify geographical code, select Tax included if applicable, and select the default tax code.
PPS280	Costing Element. Open	Only if tax method 5 – 'Purchase M3 sales tax/Sales tax interface' is used: Create an element for tax with operator 90. Set the tax code for USE tax.

Program ID	Program name	Description or Comment
CRS610	Customer. Open	Specify an address, a geographical code, and a tax code. If applicable, specify a tax exemption contract number.
OIS002	Customer. Connect Addresses	Specify an address.
CRS395	Accounting Rule. Set	Configure all sales tax setups.

Specific configuration guidelines for 'Tax Code. Open' (CRS130)

Tax codes corresponds to customers and products in Vertex. They must be configured and assigned. Both customer and item tax codes are configured in this program. Select **Taxable** for all tax codes, even if you have non-taxable customers or products, to ensure that the tax decision takes place in Vertex. With this setting, all tax decisions are deferred to the external system, and this simplifies the reconciliation of sales with taxable and non-taxable transactions.

Suggested tax codes:

Tax Code	Description	Taxable	Tax trans type	Tax trans code
CRE	Tax adjustment credit	Yes	SALE	C-Tax adjustment credit
DEB	Tax adjustment debit	Yes	SALE	B-Tax adjustment debit
TAX	Normal sales tax	Yes	SALE	N-Normal invoice
EXE	Exempt	Yes	SALE	N-Normal invoice

Chapter 9: Audit and accounting

Use the guidelines in this chapter to configure auditing and accounting for this country version.

Electronic Audit Files – SAF-T

Requirement

It has become more common that auditors and some governments require audit information in electronic formats. The global standard was originally set by the OECD with their SAF-T format. This original standard has been adopted and is being adjusted by tax authorities in many countries around the world.

M3 solution

The creation of electronic audit files in XML or TXT format is supported by the M3 Financial Audit and Accounting module.

Configuration guidelines

Program ID	Program name	Description or comment
TXS035	Tax Reporting. Open Report Fields	Create type 4 codes with the appropriate details in the field values. See the detailed guidelines for (TXS035).
AAS300	Standard Audit File. Create	Generic XML – SAF-T. Define the folder for the output file. If applicable, define the MvxFileTransfer folder for the output file. See Configuring the output folder on page 50 and the <i>M3 CE Core Administration Guide</i> .

Settings for 'Tax Reporting. Open Report Fields' (TXS035)

Number	Description	Type	Length
001	Tax Accounting Basis	4	40

Number	Description	Type	Length
002	Tax Entity	4	15
003	Taxonomy	4	40
004	Product ID	4	15
005	Product Version	4	15
006	Header Comment	4	40
007	Email	4	40
008	Website	4	40

Configuring the output folder

1 In Infor M3, click **Administration Tools** and select **Business Engine Files**.

2 In the **Select file location** field, select **MvxFileTransfer**.

The content of the root folder `MvxFileTransfer` is displayed.

3 If a specific folder is required for the output files, specify this folder.

If you do not specify another folder, then, the output file is stored in the root folder `MvxFileTransfer`.

For more information about `MvxFileTransfer` and managing files in M3 Business Engine, see the *M3 CE Core Administration Guide*.